Simple Interest

Exam code: 0607

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Simple Interest

What is simple interest?

- **Interest** is money that is regularly added to an original amount of money
  - This could be added yearly, monthly, etc
  - When saving money, interest helps increase the amount saved
  - With debt, interest increases the amount owed
- **Simple interest** refers to interest which is **based only on the starting amount**
  - Each interest payment (or charge in the case of debt) will be the **same**

How do I calculate simple interest?

- To find the **total simple interest earned**
  - Find a **percentage** (the percentage rate) of the starting amount
    - Use a **multiplier** to do this (e.g. 0.05 to find 5%)
  - **Multiply** this by the **number of time periods** (e.g. years) it is being applied for
- To find the **total balance** after the simple interest has been earned
  - Use the same method as above, and **add this on** to the starting amount

Examiner Tips and Tricks

- Double check:
  - Does the question ask for the interest earned, or the total amount at the end?
  - Do you need to round your answer? (e.g. to the nearest hundred)

Help me understand

Stuck on something?

Ask questions and get help with exactly what you're revising.

Got it

puts $ 250 into this bank account, and leaves it to earn interest for 6 years.

(a) Find the total amount of interest earned over the 6 year period.

Answer:

Each year, 4% of the starting amount is added as interest
Find 4% of $ 250 using a multiplier

$$0.04 \times 250 = 10$$

This amount of interest is earned every year, for 6 years

$$10 \times 6 = 60$$

$ 60 of interest is earned

(b) Find the total amount in the bank account at the end of the 6 year period.

Answer:

Add the amount of interest earned, found in part (a), to the starting amount

$$250 + 60 = 310$$

$ 310

Worked Example

Noah invests £ 9000 at a rate of $n\%$ **simple** interest per year, for 5 years. At the end of 5 years there is £ 11 700 in the account. Find the value of n.

Answer:

Find the total amount of interest earned over the 5 years

$$11\,700 - 9\,000 = £\,2\,700 \text{ total interest}$$

As we are dealing with simple interest, the same amount of interest is earned each year
Find the interest earned each year

$$2\,700 \div 5 = £\,540 \text{ interest per year}$$

Find what percentage of the original amount this represents

$$\frac{540}{9000} = 0.06 = 6\%$$

£ 540 is 6% of the original £ 9000

$$n = 6$$

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